WIND ROSE HOLDING LIMITED

HK Regulatory Compliance Digest

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IN THIS ISSUE

October was dominated by the SFC's drive against IPO-related misconduct. It froze client assets of up to HK$4.38 billion across two suspected IPO-rigging syndicates, issued a sponsor circular, and confirmed new post-listing tools for early 2027. For intermediaries, the revised Code on Unit Trusts and Mutual Funds took effect on 1 November, supported by fresh guidance, while the SFC invited firms to its November AML/CFT webinars. The HKMA released its "ART" Framework for responsible AI adoption, which is relevant to firms automating onboarding, surveillance and client data processes. HKEX also confirmed a September 2028 target for T+1 settlement.

SECURITIES AND FUTURES COMMISSION — SFC

13 OCT 2026

SFC acts against suspected IPO-rigging syndicates and suspends dealings in Baicha shares

The SFC issued restriction notices to 35 brokers freezing client assets of up to HK$4.38 billion (the largest in its history) and HK$285 million linked to two suspected syndicates, and had dealings in Sichuan Baicha Baidao (2555) suspended. The schemes allegedly channelled IPO proceeds back to major placees through undisclosed agreements. The brokers are not under investigation.

Read more: SFC e-Distribution (26PR168)

Trade monitoring **AML/CTF** **Enforcement** **Intermediaries**

22 OCT 2026

SFC commences MMT proceedings against Taste Gourmet executives and associates

The SFC alleges that three top executives of GEM-listed Taste Gourmet and five associates coordinated trading between June and September 2020 to hold the share price at about $1.32, the level needed for a Main Board transfer. The Market Misconduct Tribunal will determine whether market manipulation occurred.

Read more: SFC e-Distribution (26PR173)

Trade monitoring **Enforcement** **Market conduct**

30 OCT 2026

Freezing orders against Lo Kai Bong and Major Success lifted after $146.9 million paid into Court

Worldwide freezing orders were lifted after the defendants paid HK$146.86 million into Court on 20 October. The SFC's section 214 proceedings, which seek a share repurchase order and possible receivership over LET and Summit Ascent, continue, with trial set for 20 September 2027.

Read more: SFC e-Distribution (26PR179)

Enforcement **Supervision**

28 OCT 2026

SFC issues guidance for the revised Code on Unit Trusts and Mutual Funds

Guidance, FAQs and revised key facts statement templates were published ahead of the revised UT Code taking effect on 1 November 2026. Key changes include a Value-at-Risk approach for derivatives, liquidity risk management and enhanced money market fund requirements.

Read more: SFC e-Distribution (26PR176)

Suitability **Product disclosure** **Intermediaries**

26 OCT 2026

SFC approves first-ever secondary trading of tokenised public funds

Secondary trading of two SFC-authorised tokenised money market funds began on an SFC-licensed virtual asset trading platform, available around the clock. A circular sets requirements on the trading channel, fair pricing, liquidity provision and disclosure.

Read more: SFC e-Distribution (26PR174)

Trade monitoring **Intermediaries**

16 OCT 2026

SFC welcomes HKEX's proposal to implement T+1 settlement

HKEX's consultation conclusions move the stock market to T+1 settlement, with a target date of September 2028. The SFC urged participants to assess system, process and operating impacts early.

Read more: SFC e-Distribution (26PR171)

Trade monitoring **Operations**

HONG KONG MONETARY AUTHORITY — HKMA

15 OCT 2026

HKMA announces "ART" Framework to promote responsible A.I. adoption

The HKMA issued updated Supervisory Guidance for Responsible Adoption of AI, built around Accountability, Resilience and Trust, and announced an AI training data platform and further agentic AI testing. A discussion paper on supervising agentic AI governance is forthcoming.

Read more: HKMA press release, 15 Oct 2026

Supervision **Operations** **Client information**

23 OCT 2026

HKMA designates Primary Liquidity Providers and expands Scheme

Twelve banks were designated as offshore RMB Primary Liquidity Providers for two years from 27 October 2026. The RMB repo facility for PLPs rises from RMB20 billion to RMB22 billion.

Read more: HKMA press release, 23 Oct 2026

Market infrastructure

ENFORCEMENT WATCH — SFC, OCTOBER 2026

We reviewed the SFC enforcement-news listing and ran dedicated checks for disciplinary sanctions, licence suspensions or revocations, disqualification orders, freezing orders and prosecutions for 1–31 October 2026. Three enforcement items were published, all listed above: the IPO-rigging restriction notices and Baicha suspension (13 Oct), the Market Misconduct Tribunal proceedings against Taste•Gourmet executives (22 Oct), and the lifting of freezing orders against Lo

Kai Bong and Major Success (30 Oct).

We found no new disciplinary reprimands or fines, licence suspensions or revocations, disqualification orders or criminal sentencing announced in October. For continuity, on 29 September 2026 (just outside this window) the SFC reprimanded and fined Zheng Da International Financial Holding Limited HK$7 million and suspended its responsible officer; we are confirming whether this was captured in last month's coverage (https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/doc?refNo=26PR158).

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This digest is prepared for client information purposes and summarises publicly available SFC and HKMA announcements for 1 October 2026 – 31 October 2026. It is not legal advice; please consult your relationship manager or Wind Rose's compliance team before acting on any item.

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